

GREYLING

INSURANCE BROKERAGE | RISK CONSULTING
A DIVISION OF EPIC

SPECIALTY INSURANCE & RISK MANAGEMENT SOLUTIONS FOR



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November 2, 2023

[GREYLING.COM](https://www.greyling.com)

GREYLING IS THE PERFECT PARTNER FOR TILSON

Expertise

Greyling is an industry leader with unmatched depth and variety of experience

Perspective

We work with construction clients and projects all over the world with focus on legal, insurance, safety, and risk management issues across *all* lines of coverage

Innovation

We bring new and wider insurance markets and innovation, like captives, to the table, with deep relationships on underwriting and claims

Continuity

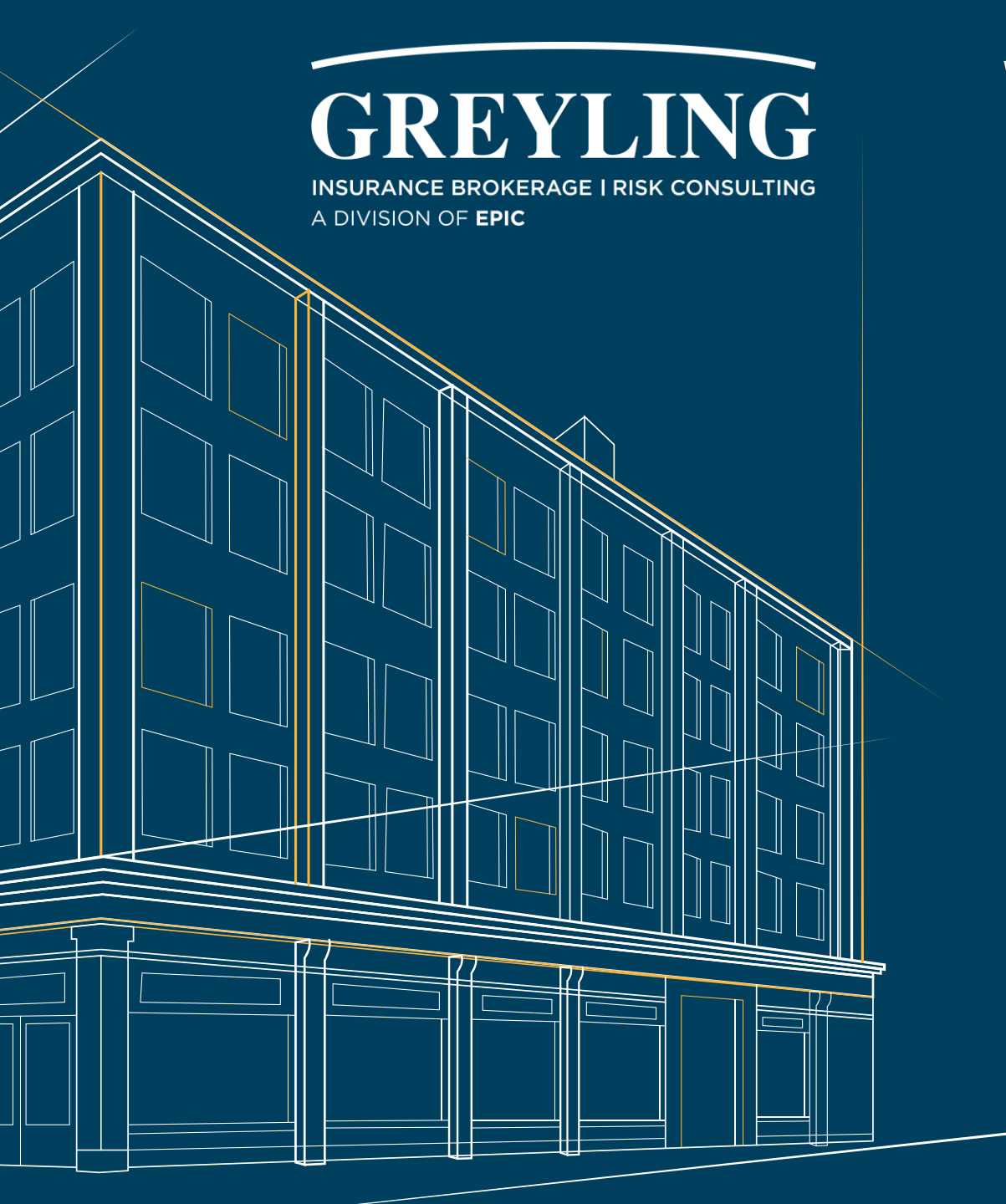
Our approach provides consistency and predictability in insurance costs and how your firm manages enterprise and project specific risk

Risk Management

Beyond our substantial legal team, we have unique resources ready to help you – supplementing your existing processes to achieve optimal outcomes

Day-to-Day Service

Prompt, useful, and courteous advice is a hallmark of the Greyling relationship



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WHO ARE WE?

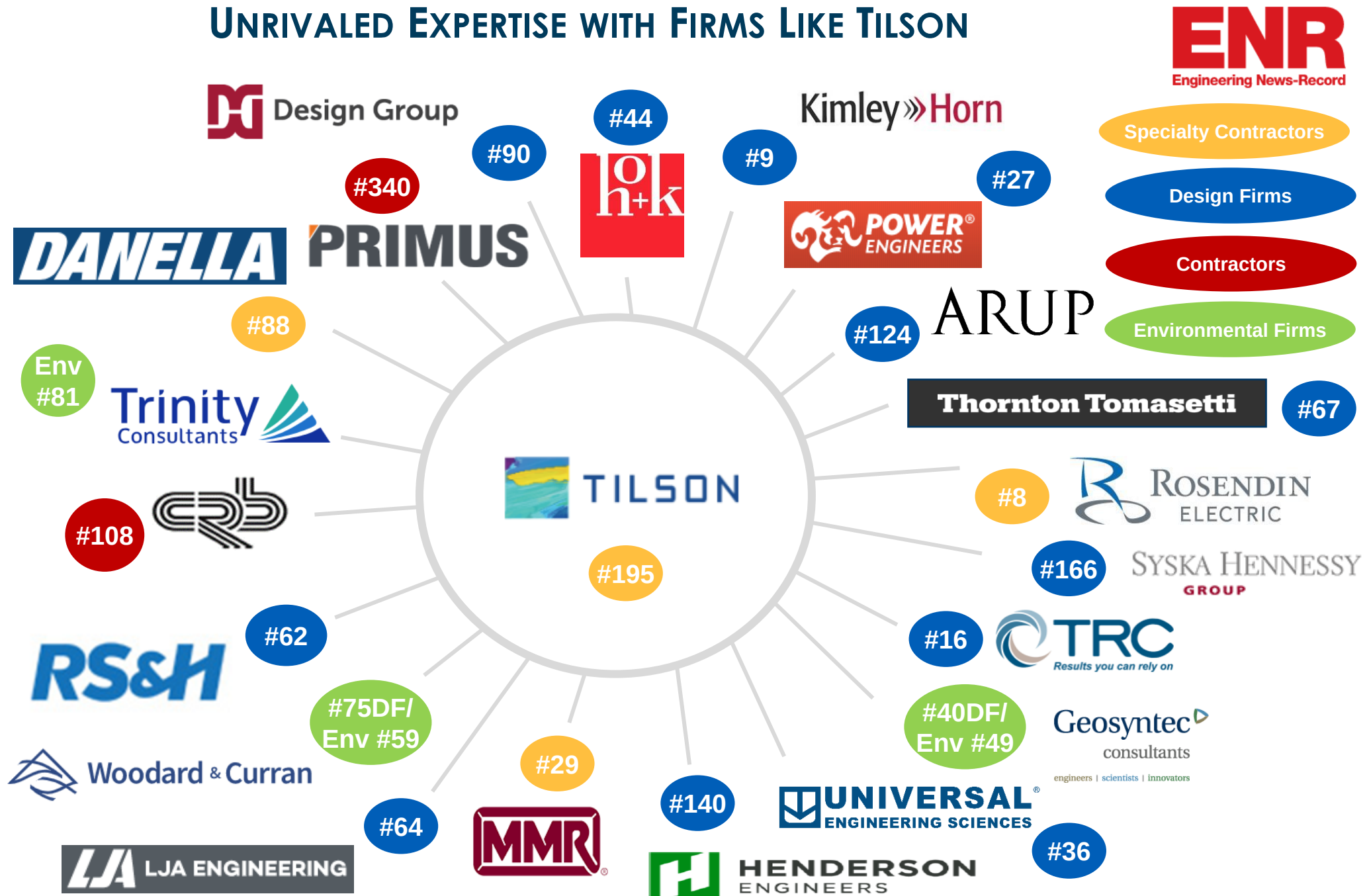
- We are a specialty practice focused almost exclusively on the construction industry through representation of contractors, design professionals and consultants, environmental firms, material suppliers and others that support the construction industry
- We have clients in every state and with projects around the world
- Our combination of risk management and insurance brokerage services, provided by experienced staff, helps our clients reduce costs — often significantly — over time
- Our client retention rate exceeds 98 percent
- The Greyling team is designed to deliver expert risk management consulting advice, in addition to placing cost effective insurance, led by industry veterans and construction attorneys

FIRMS LIKE TILSON USE GREYLING WHEN THEY...

- Desire risk and insurance partners with decades of construction industry experience
- Focus on the total cost of risk rather than just the cost of insurance premiums
- Require effective and fast advice on insurance coverage and risk management issues
- Appreciate input on drafting and negotiating complex construction, design, professional service, and equipment contracts, subcontracts, and purchase orders
- Manage complicated claims including “mixed” claims or coverage disputes
- Prefer to finish their annual renewal early with few difficult or last minute decisions
- Seek alternative insurance structures and products that give a firm a competitive cost advantage
- Must receive accurate certificates of insurance quickly
- Operate in diverse and international markets and disciplines



UNRIVALED EXPERTISE WITH FIRMS LIKE TILSON



GREYLING'S INSURER RELATIONSHIPS

- We are brokerage experts in all lines of coverage applicable to construction
We do not outsource P&C placements to “expert teams” who do not have industry-specific expertise or insight needed to properly coordinate and negotiate coverage
 - We work with many of the largest P&C insurers in construction
- Auto exposures have become increasingly material to construction firms, and we have our fingers on the pulse of the auto liability insurance market, the latest nuclear verdict trends, and advice for setting umbrella limits and resolving threatening claims
- We have particular experience addressing “mixed” claims involving professional liability, commercial general liability, and workers’ compensation
 - We help you drive general liability and third-party action over claim exposures downstream
- Many of our largest clients utilize game-changing group captive insurance



CHUBB®



The
Hanover
Insurance Group®

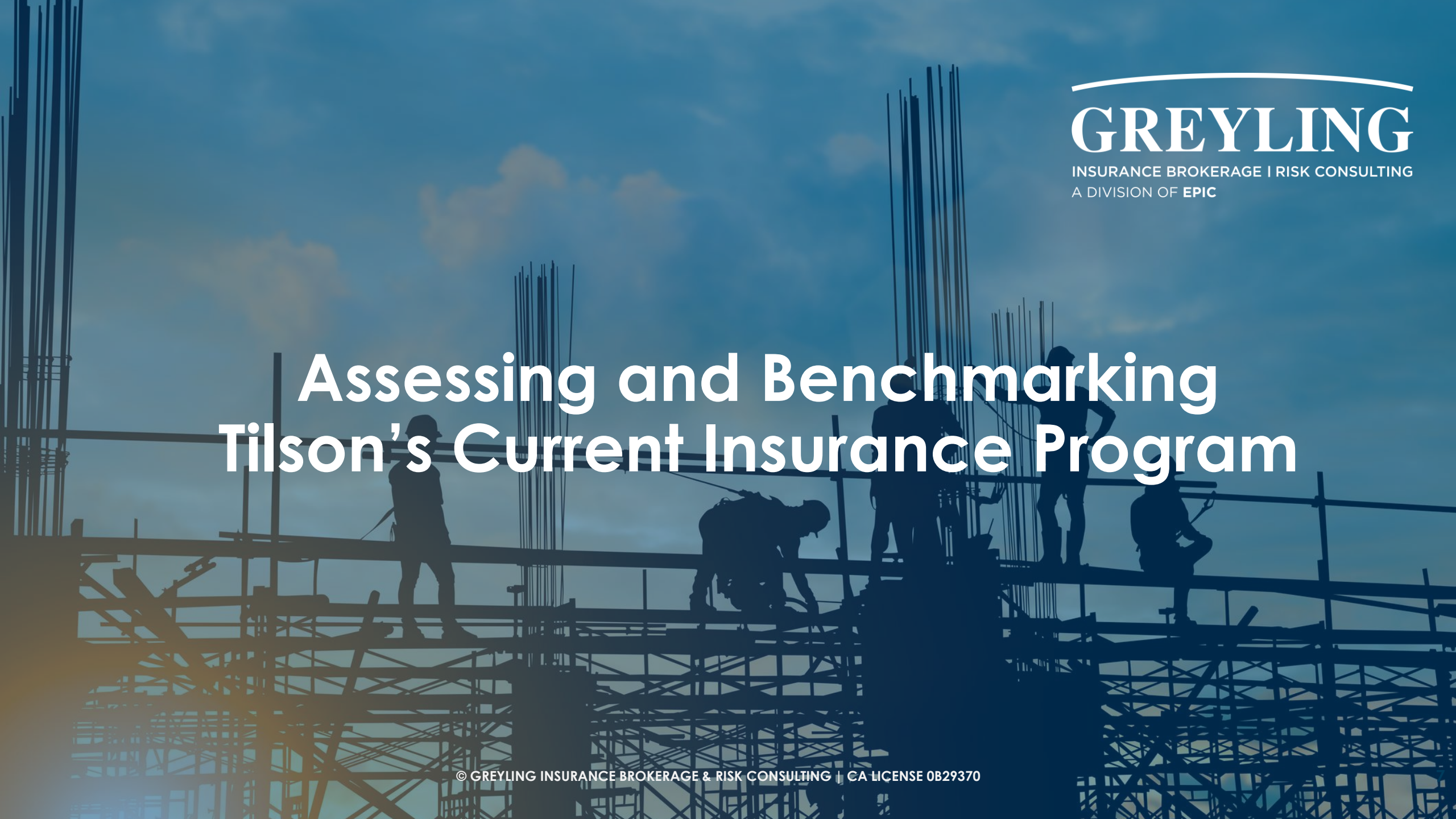


 **Liberty**
Insurance

TRAVELERS 

RLI

 **ZURICH**



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Assessing and Benchmarking Tilson's Current Insurance Program

GREYLING'S REVIEW PROCESS AND APPROACH

- We got to know Tilson through:
 - Lunch with Tim and Tuck on August 9
 - Coffee with Rose on August 17
 - Review of policy information, applications, and other documents uploaded by Rose, and follow-up questions
 - Discussions during Greyling's In-House Counsel Forum in Portland on September 25-26
 - Lunch with Tuck on October 10
 - Review of Tilson's website
 - Internal discussions of similar firms
 - Creation of Tilson's "Big Chart"
- Because we are one cohesive national team, we all have access to every client giving us broader and more meaningful data
 - Benchmarking is an art, not a science
 - Benchmarks do not reflect client specific factors such as firm risk profile and appetite, insurer identity and history, risk management and loss prevention philosophy and programs, firm loss history, discipline or project mix, or impact of brokerage



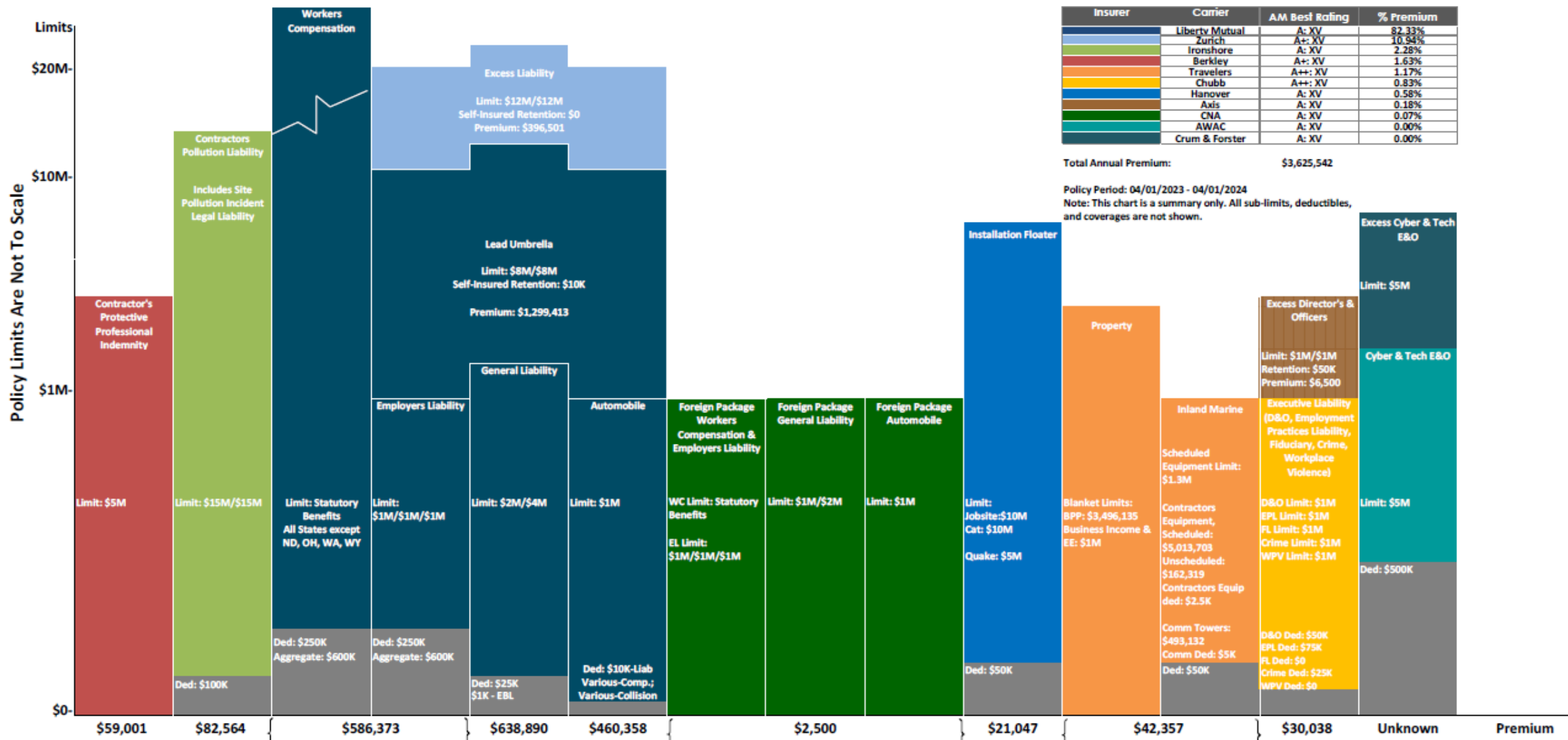
TILSON

"BIG CHART"

TILSON TECHNOLOGY MANAGEMENT, INC.

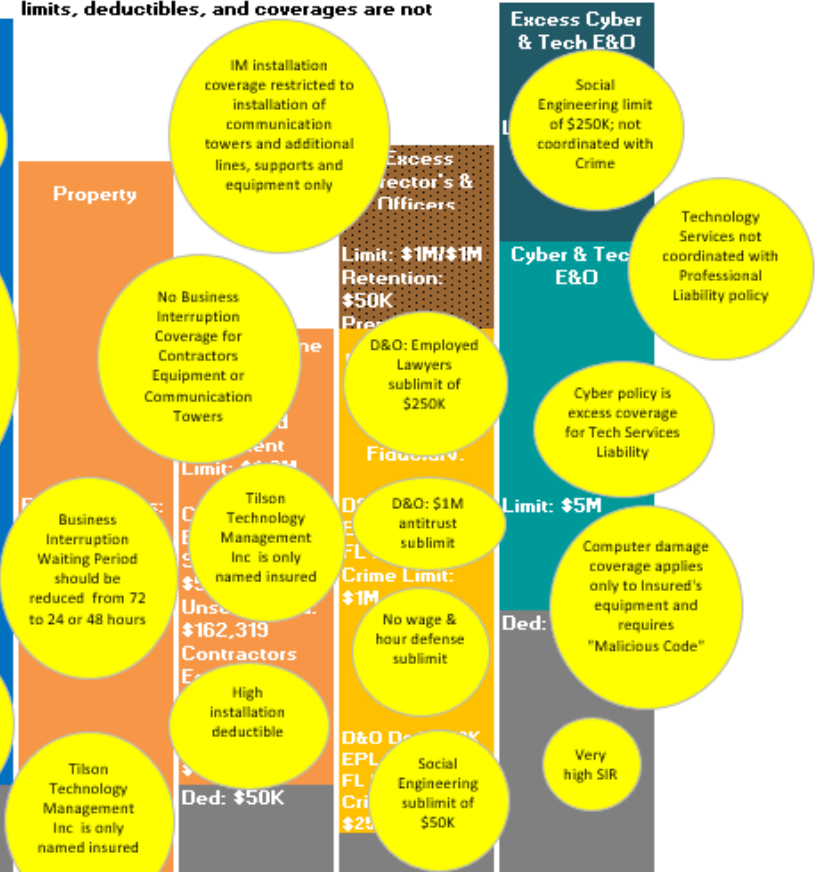
INSURANCE PROGRAM 2023 - 2024

As of October 2023





GREYLING



CELL COVERAGE CONCERN

- Tilson's Contractors Environmental Legal Liability policy currently only covers pollution incidents occurring outside of the United States and Canada:

Coverage A: Contractors Pollution Liability

1. We will pay those sums that the insured becomes legally obligated to pay as damages because of **bodily injury, property damage or environmental damage** to which this insurance applies arising out of a **pollution incident** caused by **your work** but only if:
 - a. The **bodily injury, property damage or environmental damage** is caused by an **occurrence** that takes place in the **coverage territory**; and
 - b. The **bodily injury, property damage or environmental damage** takes place during the **policy period**.

Policy Number: ICELLUW00147502

Effective Date of Endorsement: April 01, 2023

Insured Name: Tilson Technology Management Inc

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

COVERAGE TERRITORY AMENDMENT - WORLDWIDE CONTRACTORS POLLUTION AND TRANSPORTATION

This endorsement modifies insurance provided under the following:

CONTRACTORS ENVIRONMENTAL LEGAL LIABILITY (CELL) COVERAGE FORM

It is hereby agreed that the policy to which this Endorsement is attached is amended as follows:

SECTION V - DEFINITIONS, Definition 5. **Coverage Territory** is deleted in its entirety and replaced with the following.

5. **Coverage Territory** means all parts of the world except The United States of America (including its territories and possessions), Puerto Rico and Canada however:
 - a. We assume no responsibility for furnishing certificates or evidence of insurance or bonds; and
 - b. We will not be liable for any fine or penalty imposed on you for failing to comply with insurance laws.

LIQUOR LIABILITY COVERAGE CONCERN

- Below is the standard ISO Liquor Liability exclusion wording:

c. Liquor Liability

"Bodily injury" or "property damage" for which any insured may be held liable by reason of:

- (1) Causing or contributing to the intoxication of any person;
- (2) The furnishing of alcoholic beverages to a person under the legal drinking age or under the influence of alcohol; or
- (3) Any statute, ordinance or regulation relating to the sale, gift, distribution or use of alcoholic beverages.

This exclusion applies even if the claims against any insured allege negligence or other wrongdoing in:

- (a) The supervision, hiring, employment, training or monitoring of others by that insured; or
- (b) Providing or failing to provide transportation with respect to any person that may be under the influence of alcohol;

if the "occurrence" which caused the "bodily injury" or "property damage", involved that which is described in Paragraph (1), (2) or (3) above.

However, this exclusion applies only if you are in the business of manufacturing, distributing, selling, serving or furnishing alcoholic beverages. For the purposes of this exclusion, permitting a person to bring alcoholic beverages on your premises, for consumption on your premises, whether or not a fee is charged or a license is required for such activity, is not by itself considered the business of selling, serving or furnishing alcoholic beverages.

- Tilson's CGL policy has this endorsement added:

AMENDMENT OF LIQUOR LIABILITY EXCLUSION – EXCEPTION FOR SCHEDULED PREMISES OR ACTIVITIES

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART

The following replaces Exclusion c. under Paragraph 2. Exclusions of Section I – Coverage A – Bodily Injury And Property Damage Liability:

2. Exclusions

This insurance does not apply to:

c. Liquor Liability

"Bodily injury" or "property damage" for which any insured may be held liable by reason of:

- (1) Causing or contributing to the intoxication of any person, including causing or contributing to the intoxication of any person because alcoholic beverages were permitted to be brought on your premises, for consumption on your premises;
- (2) The furnishing of alcoholic beverages to a person under the legal drinking age or under the influence of alcohol; or
- (3) Any statute, ordinance or regulation relating to the sale, gift, distribution or use of alcoholic beverages.

This exclusion applies even if the claims against any insured allege negligence or other wrongdoing in:

- (a) The supervision, hiring, employment, training or monitoring of others by that insured; or
- (b) Providing or failing to provide transportation with respect to any person that may be under the influence of alcohol;

if the "occurrence" which caused the "bodily injury" or "property damage", involved that which is described in Paragraph (1), (2) or (3) above.

This exclusion applies only if you:

- (1) Manufacture, sell or distribute alcoholic beverages;
- (2) Serve or furnish alcoholic beverages for a charge whether or not such activity:
 - (a) Requires a license;
 - (b) Is for the purpose of financial gain or livelihood;
- (3) Serve or furnish alcoholic beverages without a charge, if a license is required for such activity; or
- (4) Permit any person to bring any alcoholic beverages on your premises, for consumption on your premises.

However, this exclusion does not apply to "bodily injury" or "property damage" arising out of:

- (i) The selling, serving or furnishing of alcoholic beverages at the specified activity described in the Schedule; or
- (ii) Permitting any person to bring any alcoholic beverages on the premises described in the Schedule, for consumption on the premises described in the Schedule.

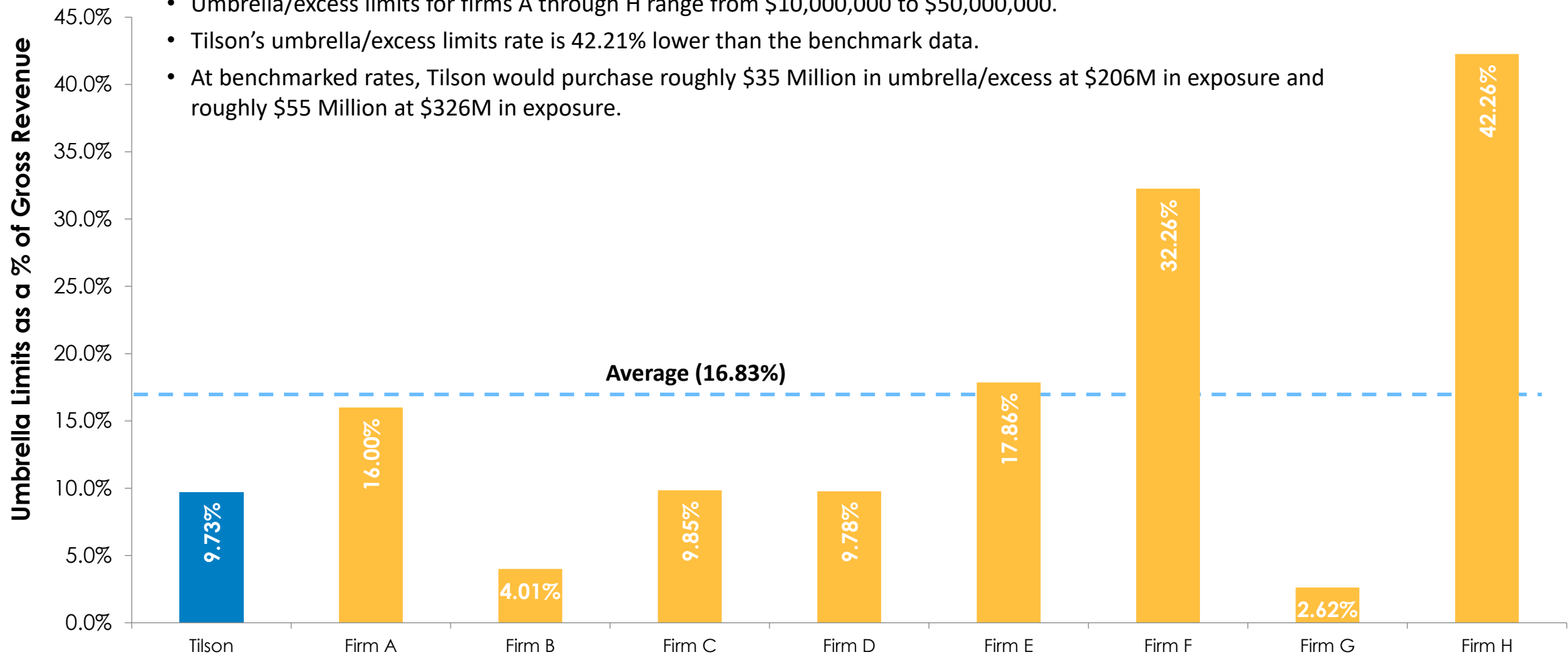
Schedule

Description Of Premises Or Activities:

None.

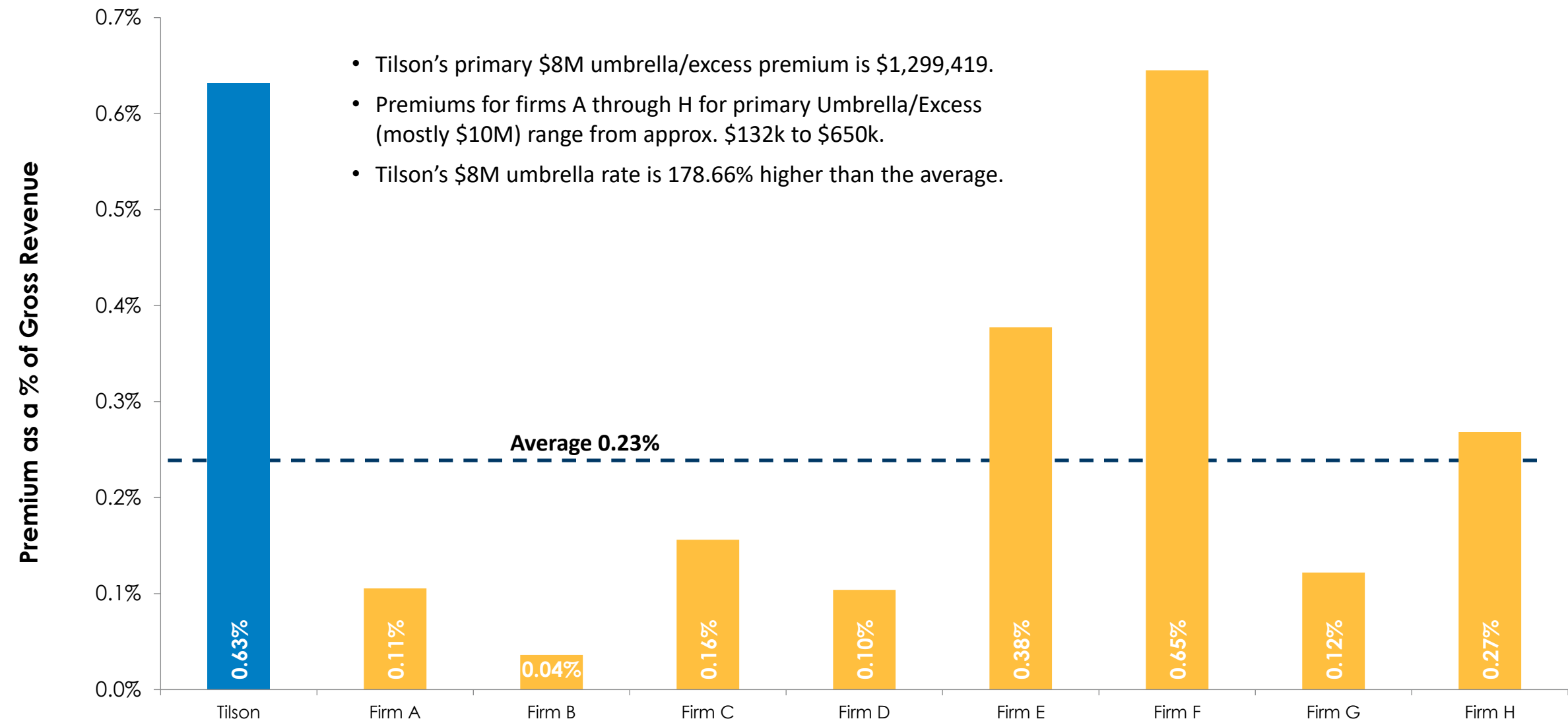
UMBRELLA BENCHMARK: LIMITS (AS A % OF GROSS REVENUE)

- Tilson’s Umbrella/Excess limits are \$20,000,000.
- Umbrella/excess limits for firms A through H range from \$10,000,000 to \$50,000,000.
- Tilson’s umbrella/excess limits rate is 42.21% lower than the benchmark data.
- At benchmarked rates, Tilson would purchase roughly \$35 Million in umbrella/excess at \$206M in exposure and roughly \$55 Million at \$326M in exposure.



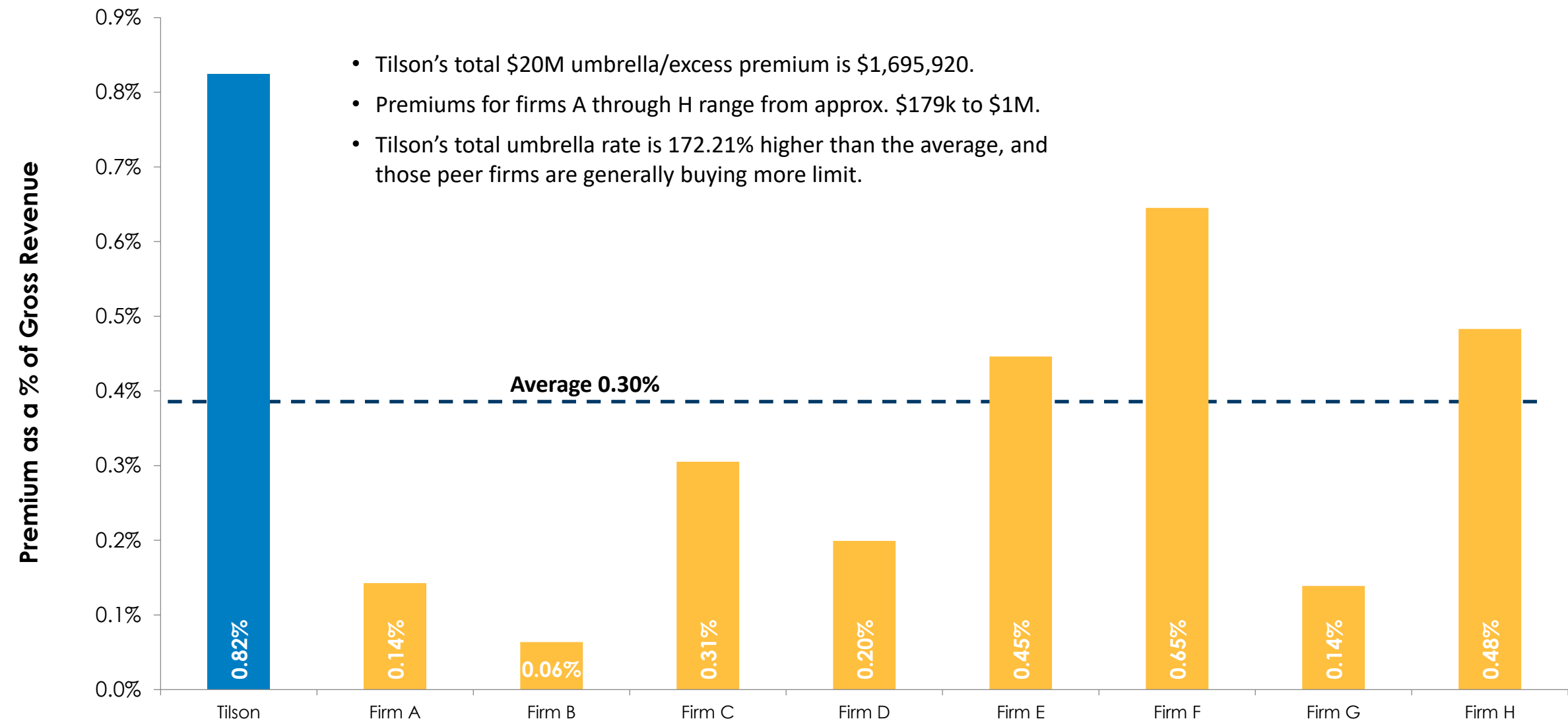
Average revenue for benchmark companies is \$371M vs. \$206M for Tilson (current policy year).

UMBRELLA BENCHMARK: PRIMARY PREMIUM (As a % of Gross Revenue)



Average revenue for benchmark companies is \$371M vs. \$206M for Tilson (current policy year).

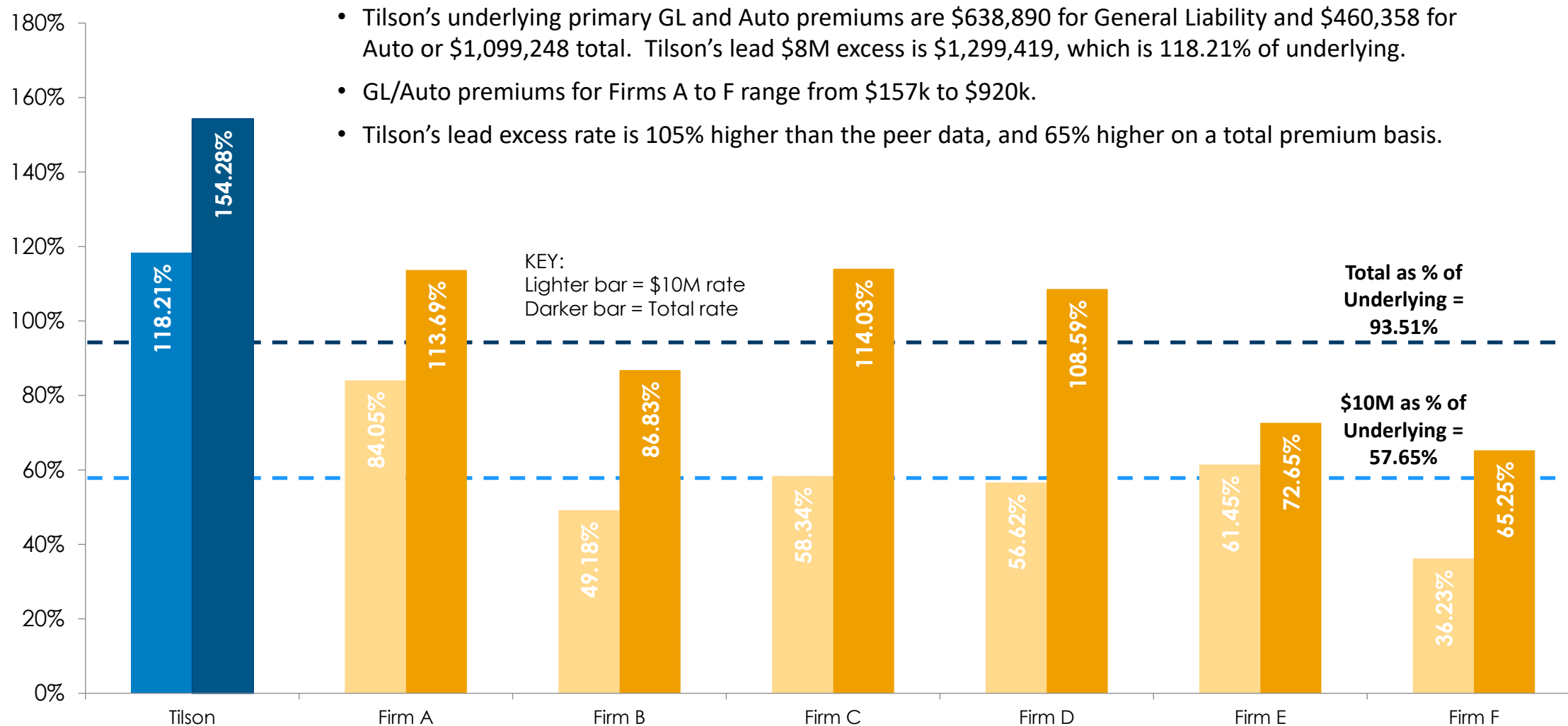
UMBRELLA BENCHMARK: TOTAL PREMIUM (As a % of Gross Revenue)



Average revenue for benchmark companies is \$371M vs. \$206M for Tilson (current policy year).

UMBRELLA BENCHMARK: TOTAL PREMIUM (As a % of Underlying GL + Auto)

Policy Limit (per claim) as a % of Underlying Premium

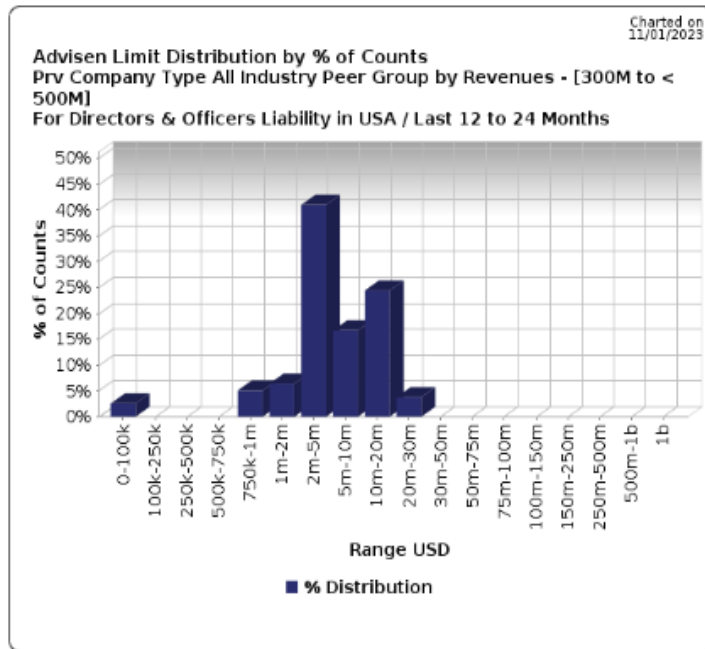


- Tilson's underlying primary GL and Auto premiums are \$638,890 for General Liability and \$460,358 for Auto or \$1,099,248 total. Tilson's lead \$8M excess is \$1,299,419, which is 118.21% of underlying.
- GL/Auto premiums for Firms A to F range from \$157k to \$920k.
- Tilson's lead excess rate is 105% higher than the peer data, and 65% higher on a total premium basis.

Average revenue for benchmark companies is \$371M vs. \$206M for Tilson (current policy year).

EXECUTIVE LIABILITY BENCHMARKING

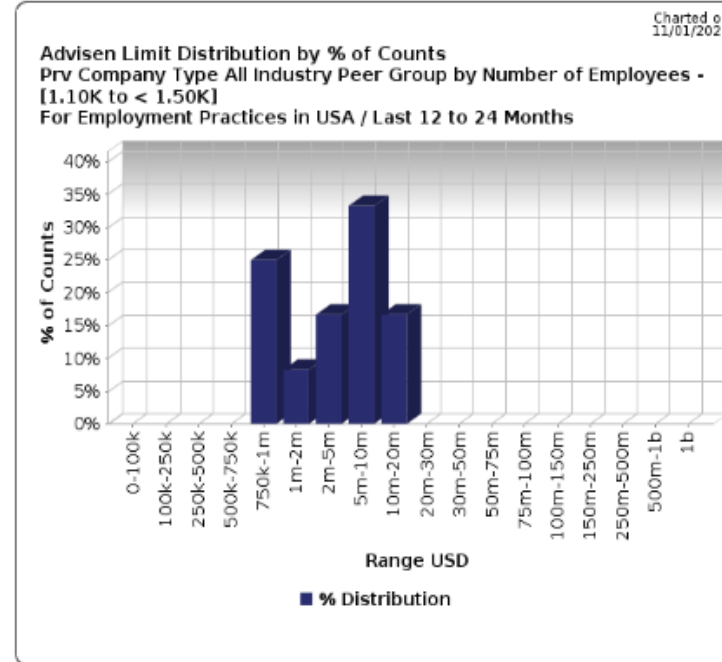
- Tilson currently purchases \$1 Million of Directors & Officers (plus \$500k additional for Executives and \$1 Million excess for Side A non-indemnifiable claims), Employment Practices, and Fiduciary Liability
- We would expect a firm of Tilson's size and breadth of operation (including employees in California, Nevada, Georgia, New York, and New Jersey) to have at least \$5 Million of each coverage



Advisen Limit Distribution by % of Counts
Prv Company Type All Industry Peer Group by Revenues - [300M to < 500M]
For Directors & Officers Liability in USA / Last 12 to 24 Months

Range	% of Counts	Cumulative %
USD		
20m-30m	3.8	100.0
10m-20m	24.4	96.2
5m-10m	16.7	71.8
2m-5m	41.0	55.1
1m-2m	6.4	14.1
750k-1m	5.1	7.7
0-100k	2.6	2.6

Program Count: 78



Advisen Limit Distribution by % of Counts
Prv Company Type All Industry Peer Group by Number of Employees - [1.10K to < 1.50K]
For Employment Practices in USA / Last 12 to 24 Months

Range	% of Counts	Cumulative %
USD		
10m-20m	16.7	100.0
5m-10m	33.3	83.3
2m-5m	16.7	50.0
1m-2m	8.3	33.3
750k-1m	25.0	25.0

Program Count: 12

NAMED INSURED ISSUES

- The identity of the Named Insureds is inconsistent across policies
- Tilson Technology Management, Inc. is the First Named Insured on all policies
- These entities also appear:
 - 16 Middle Street Associates, LLC (CGL, Umb)
 - Puente Tilson JV, LLC (CGL, Umb)
 - SQF, LLC (CGL, Umb, Mgmt, CPL – as Indemnified Party)
 - TEMSCO PC (CGL, Umb, CPL, Prof, Mgmt)
 - Tilson Consulting Services, LLC (CGL, Umb)
 - Tilson Fiber Technology, LLC (CGL, Umb)
 - Tilson Government Services, LLC (CGL, Umb)
 - Tilson Middlestreet Holdings, LLC (CGL, Umb)
 - Tilson Middle Street Holdings, LLC (CPL)
 - Tilson Wireless Services, LLC (CGL, Umb)
 - SQF PBI Holdings (Mgmt)
- We need to better understand these entities' operations and ownership to opine on whether there are material gaps
- LLC that are not majority owned by TTMI, or professional corporations owned by individuals (often for licensing purposes) need to be specifically scheduled on certain policies as broad form named insured and “subsidiary” type wording is not adequate to confirm these entities are actually insured by the policy

WC DEDUCTIBLE COSTS VS DEDUCTIBLE SAVINGS

- Tilson has a \$250,000 per occurrence/\$600,000 policy aggregate deductible on workers' compensation
- The large deductible credits result in \$18,518 of premium savings for 2023-24
- As of mid August, Tilson had \$86,254 in WC claims
 - The large deductible credit is very small compared to the claims paid out for 23-24
- In the past 5 years, only one claim appears excess of the \$250k deductible (depending on when that was implemented) – a 2020 claim with \$180k paid and \$140 reserved
 - If all 5 years have had the \$250k deductible, Tilson has paid roughly \$1 Million in claims out of pocket under the deductible in exchange for less than \$100,000 in premium savings
- Tilson's policy has no other WC credits besides the EMR and large deductible
- WC Construction credits are contemplated by Tilson's WC policy but are not actually applied; savings should be recognized in CT, FL, IL, MA, MD, MN, MT, NE, NM, OK, OR, NJ, NY, TN, VA

LOSS SUMMARY

Loss Summary for: Tilson Technology Management Inc. Coverage: Property & Casualty

All Property & Casualty											
Policy Period		Premium	Insurer	Policy Number	Evaluation Date	No. of Claims	No. of Open Claims	Paid Loss/Expense	Reserved Loss/Expense	Total Incurred Loss	Total Loss Ratio
4/1/2023	4/1/2024	\$1,685,621	Various	Various	Various	45	17	\$83,170	\$104,263	\$187,433	11.12%
4/1/2022	4/1/2023	\$1,194,111	Various	Various	Various	83	11	\$319,027	\$421,979	\$741,006	62.06%
4/1/2021	4/1/2022	\$1,112,865	Various	Various	Various	33	1	\$332,743	\$14,200	\$346,943	31.18%
4/1/2020	4/1/2021	\$1,090,310	Various	Various	Various	45	2	\$256,465	\$215,824	\$472,289	43.32%
4/1/2019	4/1/2020	\$998,828	Various	Various	Various	32	0	\$264,597	\$0	\$264,597	26.49%
Total:		\$6,081,736				238	31	\$1,256,001	\$756,267	\$2,012,268	33.09%

General Liability											
Policy Period		Premium	Insurer	Policy No.	Evaluation Date	No. of Claims	No. of Open Claims	Paid Loss/Expense	Reserved Loss/Expense	Total Incurred Loss	Loss Ratio
4/1/2023	4/1/2024	\$638,890	Liberty	TB2-651-291916-023	8/17/2023	4	3	\$2,002	\$36,350	\$38,352	6.00%
4/1/2022	4/1/2023	\$281,372	Liberty	TB2-651-291916-022	8/17/2023	11	4	\$26,914	\$252,345	\$279,259	99.25%
4/1/2021	4/1/2022	\$291,400	Liberty		8/17/2023	3	0	\$118,970	\$0	\$118,970	40.83%
12/19/2019	4/1/2021	\$350,991	Liberty		8/17/2023	3	1	\$10,196	\$75,000	\$85,196	24.27%
12/19/2018	12/19/2019	\$333,441	Liberty		8/17/2023	4	0	\$36,717	\$0	\$36,717	11.01%
Total 5-Year:		\$1,896,094				21	5	\$194,798	\$363,696	\$558,494	29.45%

Business Auto											
Policy Period		Premium	Insurer	Policy Number	Evaluation Date	No. of Claims	No. of Open Claims	Paid Loss/Expense	Reserved Loss/Expense	Total Incurred Loss	Loss Ratio
4/1/2023	4/1/2024	\$460,358	Liberty	AS2-651-291916-013		18	4	\$26,012	\$0	\$26,012	5.65%
4/1/2022	4/1/2023	\$414,322	Liberty	AS2-651-291916-012		31	3	\$105,832	\$44,578	\$150,410	36.30%
4/1/2021	4/1/2022	\$372,890	Liberty			11	0	\$62,719	\$0	\$62,719	16.82%
4/1/2020	4/1/2021	\$335,601	Liberty			33	0	\$62,550	\$0	\$62,550	18.64%
4/1/2019	4/1/2020	\$302,041	Liberty			22	0	\$103,515	\$0	\$103,515	34.27%
Total:		\$1,885,212				115	7	\$360,628	\$44,578	\$405,206	21.49%

Workers Compensation											
Policy Period		Premium	Insurer	Policy Number	Evaluation Date	No. of Claims	No. of Open Claims	Paid Loss/Expense	Reserved Loss/Expense	Total Incurred Loss	Loss Ratio
4/1/2023	4/1/2024	\$586,373	Liberty	WA2-65D-291916-033	8/17/2023	23	10	\$55,155.99	\$67,913	\$123,069	20.99%
4/1/2022	4/1/2023	\$498,417	Liberty	WA2-65D-291916-032	8/17/2023	41	4	\$186,281	\$125,056	\$311,337	62.47%
4/1/2021	4/1/2022	\$448,575	Liberty		8/17/2023	19	1	\$151,055	\$14,200	\$165,255	36.84%
4/1/2020	4/1/2021	\$403,718	Liberty		8/17/2023	9	1	\$183,719	\$140,824	\$324,543	80.39%
4/1/2019	4/1/2020	\$363,346	Liberty		8/17/2023	6	0	\$124,364	\$0	\$124,364	34.23%
Total:		\$2,300,429				98	16	\$700,575	\$347,993	\$1,048,568	45.58%

A low-angle, upward-looking photograph of several tall skyscrapers with glass facades, reflecting the sky and each other. The perspective creates a sense of height and architectural grandeur.

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CAPTIVE INSURANCE FOR CONSTRUCTION COMPANIES

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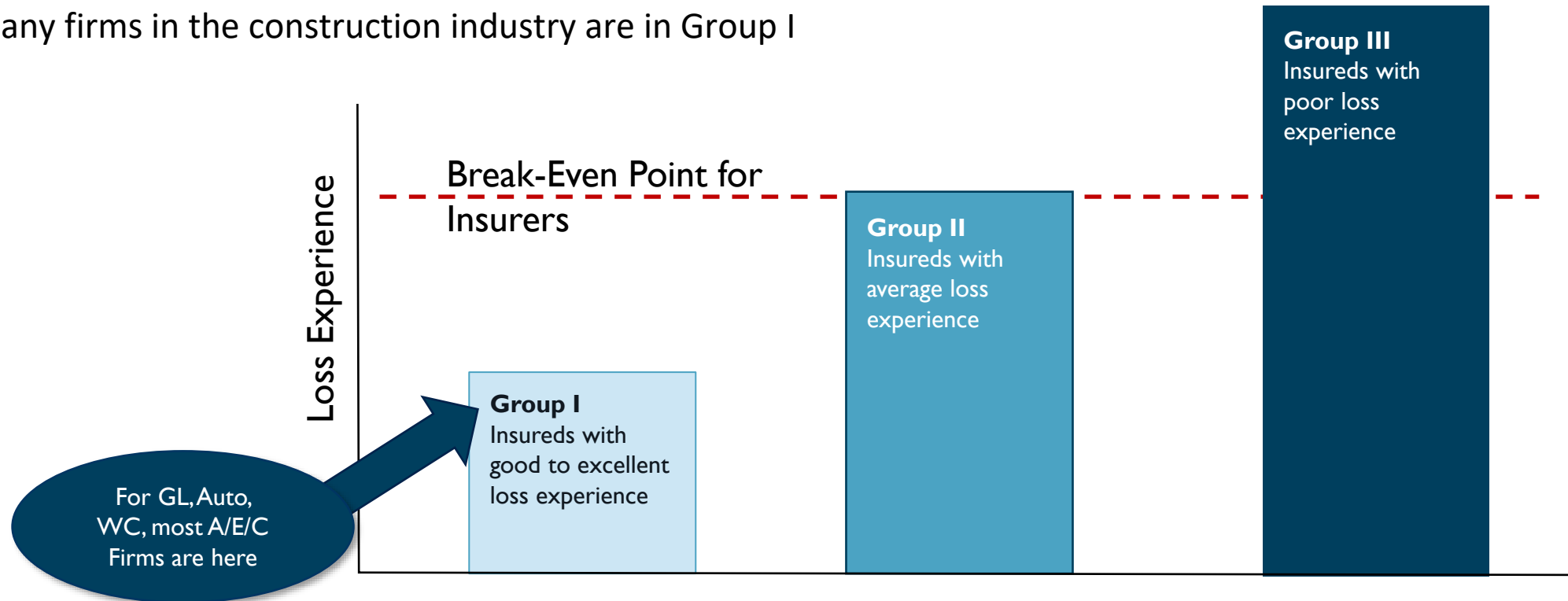
OVERVIEW OF CAPTIVE INSURANCE

Why Use Captives vs. the Traditional Marketplace?

- Stability
 - Avoid marketplace fluctuations
 - Premiums based on losses
 - Continuity of partners and exposure
- Control
 - Who is in your risk pool?
 - You are primary risk manager
- Savings
 - Re-price excess layers
 - Potential dividends & investment income
- Single Parent
 - Specific firm; specific coverage(s)
 - Start-up cost and capital requirements
 - Front needed?
- Protected Cell/Rent-A-Captive
 - Take a piece of an existing captive insurer
 - Limited choices of partners, providers, and options
- 831(b) Microcaptive
 - For risks that cannot be insured by traditional insurance
 - More a tax avoidance strategy
 - Typically invites greater IRS scrutiny
- Group Captive

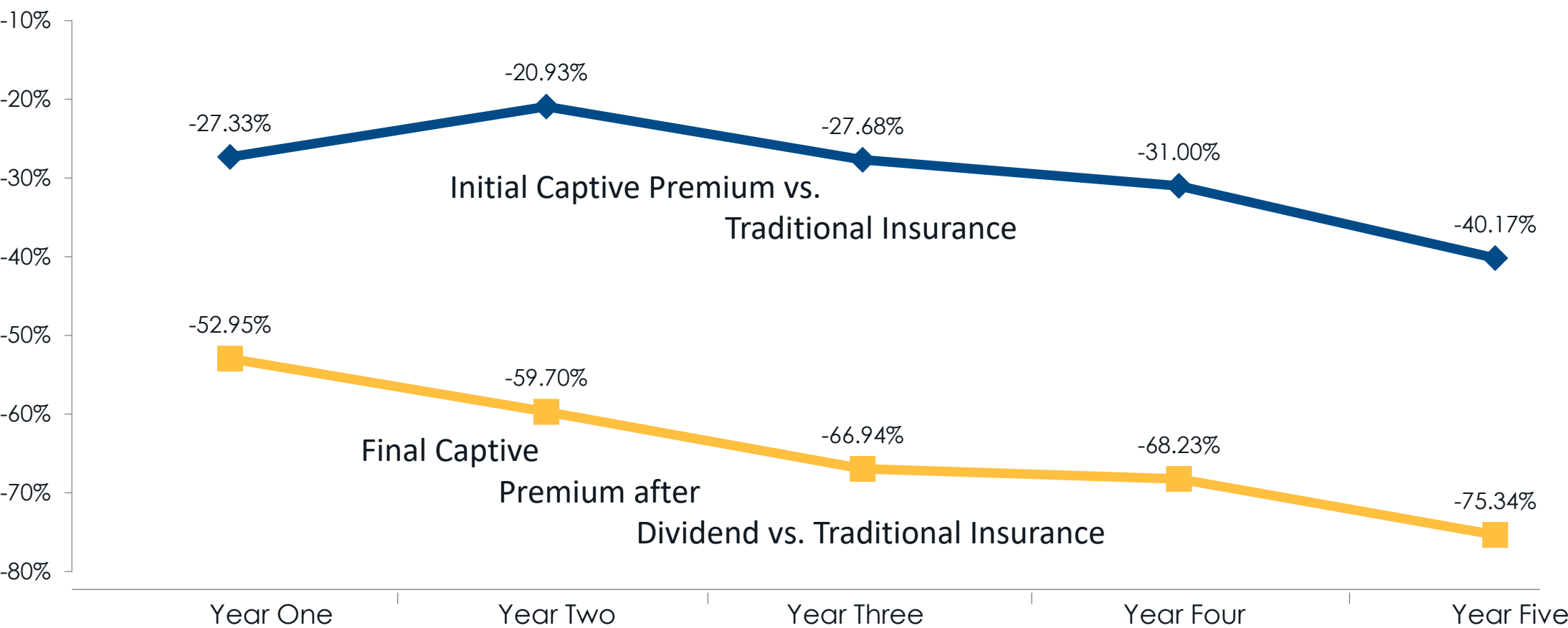
WHY A GROUP CAPTIVE?

- For mid-sized and large companies with favorable loss experience, traditional insurers do not offer a multi-policy solution that returns profits and provides investment returns
- Traditional insurers are in the business of pooling risks resulting in the good risks (Group I below) subsidizing the poor risks (Group III below)
- Many firms in the construction industry are in Group I



GROUP CAPTIVE CASE STUDY

The cost difference between traditional insurance and a group captive increases over time.

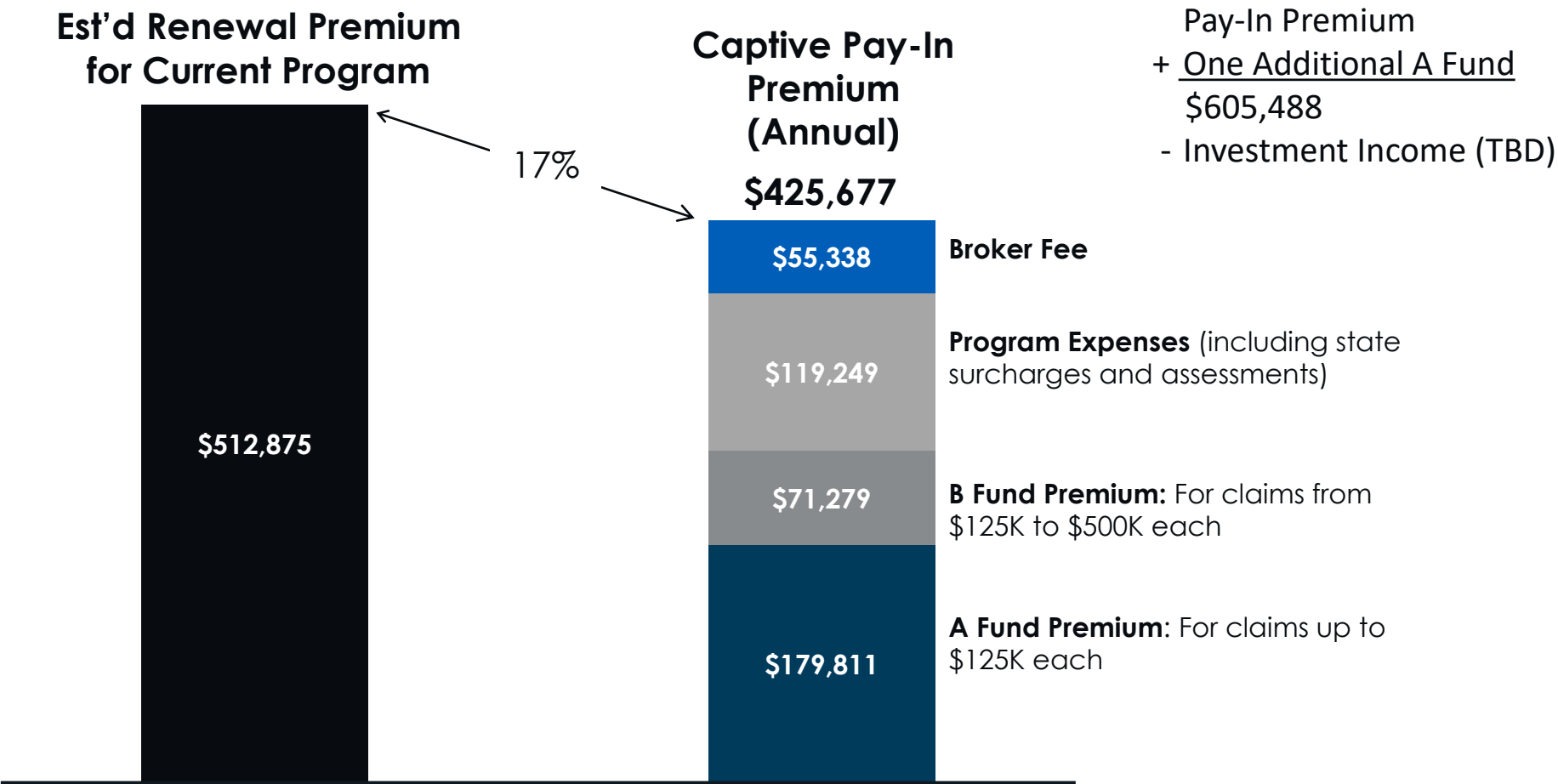


WHAT GOES INTO THE GROUP CAPTIVE?

- Heterogeneous, non-exotic risks
- Policies in the group captive
 - **Commercial General Liability**
 - **Workers Compensation / Employers Liability**
 - **Business Auto (Liability & Physical Damage)**
- Policies that may have been purchased in conjunction with the above but will be a **stand-alone** purchase if the group captive option is selected
 - **Umbrella**
 - **Property**
- The Umbrella/Excess insurance marketplace right now makes entry into a group captive more complicated and occasionally less attractive

CAPTIVE PROGRAM VS. TRADITIONAL INSURANCE

* Numbers of an actual Greyling client



IDEAL GROUP CAPTIVE CANDIDATES

- Engineering/consulting firms with:
 - Premium of \$250,000 or higher for commercial general liability, workers compensation; and business auto (combined)
 - A favorable loss record (loss ratios <30%)
- Companies with risk management cultures and processes for loss avoidance
- Companies with adequate fleet size but proper fleet safety protocols
- Positive cash flow that can handle the collateral requirements
- Firm leadership is prepared to support involvement in managing the captive and attendance at Board meetings and risk control workshops
- Understand the potential pitfalls

THE RIGHT CAPTIVE FOR TILSON

- Greyling works with a number of leading group captives
- The captive that feels like the best fit for Tilson is Evolution Insurance Company, Ltd.:
 - EPIC places 66 of 236 active members; Greyling has 25 of these
 - Total annual premium: \$156 Million (\$59 Million are EPIC clients)
 - Over \$157M in dividends returned since 2004
 - Managed by Captive Resources
 - Domiciled in Grand Cayman
 - Greyling has several peer firms in Evolution based on size and scope
 - April 1 renewal date





GREYLING

INSURANCE BROKERAGE | RISK CONSULTING
A DIVISION OF EPIC

Managing Risk

GREYLING'S IMPACT ON GENERAL LIABILITY & SAFETY

- Contract review and negotiation
- Assisting with subconsultant and subcontractor requirements and enforcement
 - Working to drive general liability and third-party action over claim exposures downstream
 - Utilizing the general liability programs of others
 - Certificate of Insurance management
- Understanding the interplay and cost/benefit of using General Liability coverage for defense in “mixed claims”
- Proper utilization of captive programs
- Premises safety and loss control
- Employee safety

KEY SERVICES

- Site-Specific Written Safety Program Development
- MSHA Compliance and Assistance
- OSHA Audits and Assistance
- FMCSA Compliance Audits and Fleet Safety Assistance
- Employee and Supervisor Training (English and Spanish)
- Industrial Hygiene
- Disaster Recovery Planning
- Ergonomic Assessments

GREYLING'S IMPACT ON AUTO & WORKERS' COMPENSATION

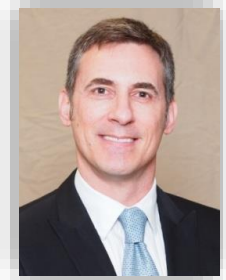
Auto Loss Control

- Creating corporate policies
 - Employee handbook
 - MVR review & frequency
 - Training requirements
 - GPS/telematic implementation
 - Financial accountability
 - Drug and alcohol testing
 - Rewards for good behavior
- Employee training using EPIC fleet safety experts
- Developing accident documentation protocols
- Keep and track metrics (rates, types, losses)

Workers' Compensation

- EMR modeling to project changes and understand impact of premium and losses
- Working with clients to properly assess meaning of EMR
- Worker safety training and loss prevention
- Focus on fleet safety to avoid the “double whammy”
- Monitoring and advice regarding claims handling
- Coordinating coverage with subconsultants, subcontractors, and contract requirements
- Active involvement in subrogation recoveries and third party action over claims

EPIC Resource



Michael Nischan, CDS, CCSP
VP, Transportation & Logistics
27 Years Total in Safety
21 Years – Tenure
Expertise: Fleet Safety and Cargo
Securement

“Our Risk Control and Transportation Specialists are dedicated to serving commercial fleets. We offer expertise in risk management, compliance, fleet safety, cargo security, and claims management to meet the unique challenges of a commercial fleet.”

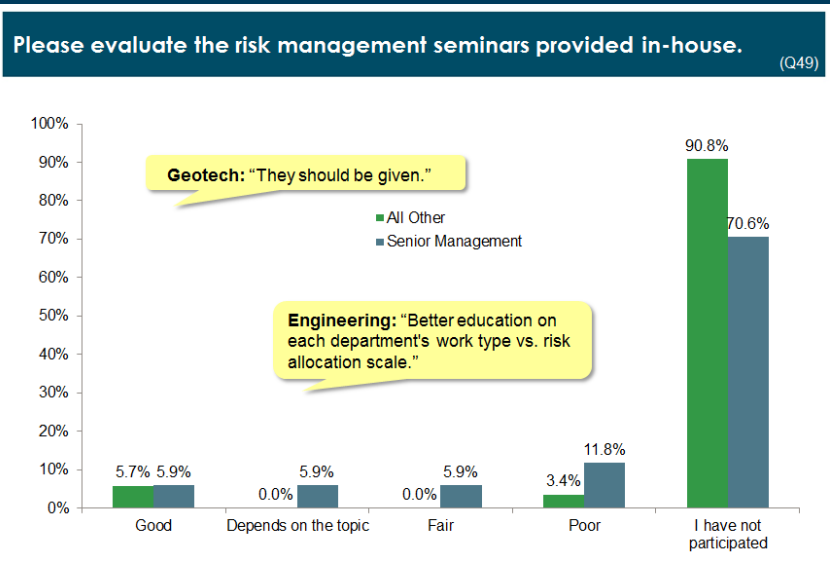
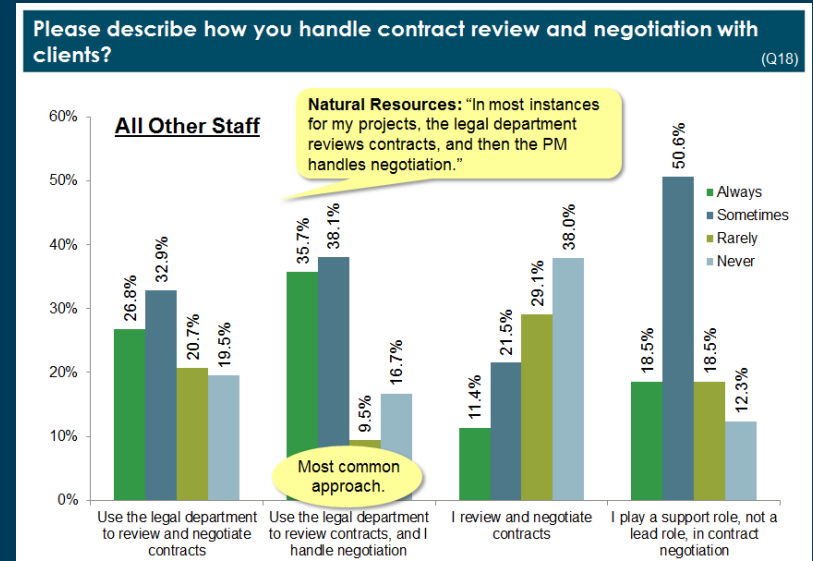
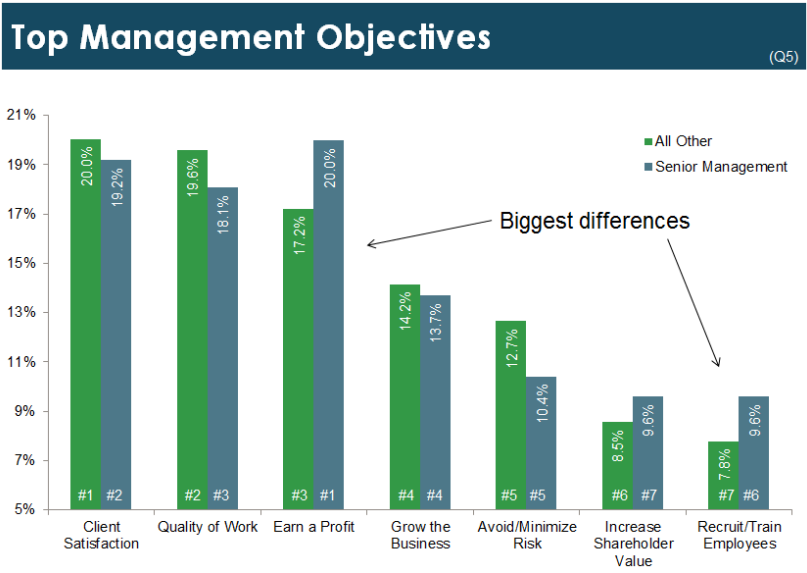
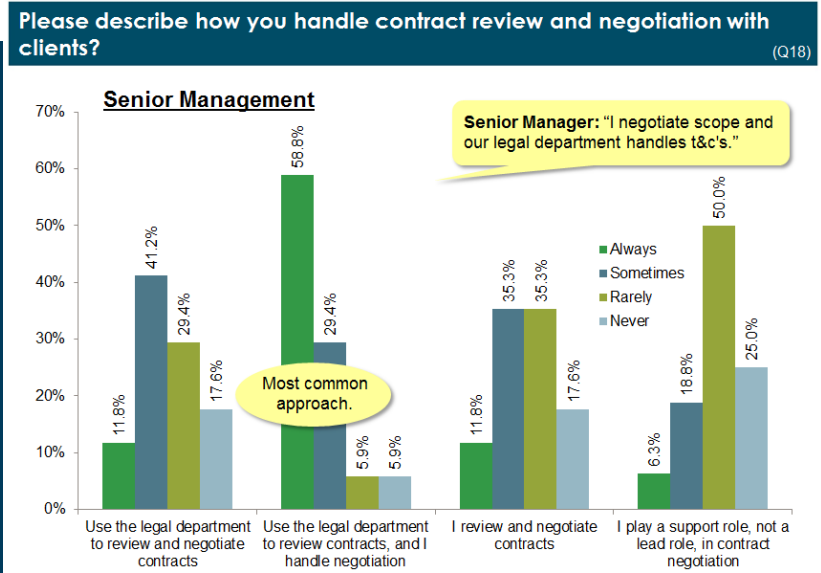
EXEMPLARY RISK MANAGEMENT TRAINING

- Alternative Project Delivery Risk (Design-Build, P3, IPD)
- Running to (project) Trouble
- Contract Clauses 101
- Insurance for Construction Firms (Beginner and Advanced)
- Cyber Exposures and Liability Insurance
- Mitigation of Construction Technology Risks
- Project Communication: Managing Risk in a Digital World
- Project-Specific Insurance
- Writing for Project Managers
- Group Captive Insurance
- Artificial Intelligence in Design
- Design Delegation and Design-Assist
- Drone Liability
- Terrorism Exposures and Insurance
- Controlling Litigation Costs
- Lessons Learned on Stadium and Arena Projects
- Big Risks on Small Projects
- Understanding Experience Modification Rating
- Emerging Leaders
- Covering Foreign Exposures
- Social Media and Document Retention
- Auto Safety for Construction and Consulting Firms

HOW GREYLING HELPS MANAGE RISKS & LOWER PROFESSIONAL LOSS RATIO

- Contract review and negotiation
- Risk assessment survey and executive feedback
- Customized risk management training
- M&A due diligence and integration
- Claims consulting
 - Pre-claims avoidance
 - Counsel and forensic referrals
 - Negotiation with insurers for resolution
- Advice on practice expansion or changes and project selection
- Advocating for and placing project specific insurance

RISK ASSESSMENT SURVEY - EXAMPLES



GREYLING'S CONTRACT REVIEW CAPABILITIES

- Greyling has 7 attorneys and a paralegal
- We supplement your existing contract review team and processes
- We can review a broader portion of your contracts than just the insurance requirements
- Our edits are commercially minded to help you take reasonable positions and negotiate achievable results
- We routinely join negotiation calls and e-mails with clients

15.3 Notwithstanding anything herein to the contrary, Vendor makes no warranty, express or implied, regarding professional services to be provided hereunder other than an agreement to perform such services in accordance with the applicable common law standard of professional care.

16 Warranty

16.1 The Vendor warrants that all goods delivered and works or services supplied shall (a) be free from defects in terms of design, construction, performance, material, manufacturing, composition and quality (b) be in accordance with drawings, standards and specifications supplied or used by Vopak, (c) be in material compliance with the scope of work, and (d) be safe and constructed or performed in accordance with applicable law and industry standards.

16.2 Vopak may rely on any warranty given or otherwise pertaining to the goods, works and/or services, irrespective of Vopak having conducted any inspection or having delivered any previous complaint to Vendor.

16.3 Unless otherwise agreed to in writing by the Parties, the warranty period on the part of the Vendor within which the Vendor is required to correct defects shall be twenty-four (24) months from the date of delivery.

16.4 If pursuant to this article (parts of) goods delivered and/or works and/or services supplied are replaced, repaired or altered, the full warranty period shall apply to these (parts of) goods, works and/or services as of the time of delivery.

16.5 Vendor hereby assigns all rights under warranties given by manufacturers or suppliers of goods, works or services forming (part of) the goods, works or services delivered to Vopak.

17 Indemnity

17.1 In addition to the Vendor's warranty obligations set forth in Section 16 and Vendor's other indemnity obligations under the Agreement or these General Purchase Conditions, Vendor shall indemnify, defend and hold harmless each member of the Vopak Group from and against any and all Losses arising out of or related to (a) the personal injury to or death of any Third Party or the damage to or destruction of any property, in each case to the extent arising out of or resulting from the negligence of any member of the Vendor Group (as defined below) or anyone directly or indirectly (including subcontractors) employed by any member of the Vendor Group or anyone for whose acts they may be liable, and (b) injury to or death of any member of the Vendor Group. Vendor acknowledges that the indemnity obligation set forth in Section 17.1(b) shall exist regardless of the cause of such Losses, including the sole or joint negligence, breach of contract or other basis of liability of any member of the Vopak Group. For purposes of this Article 17, the following terms shall have the following meanings: (a) "Vendor Group" means Vendor, any subcontractor of Vendor and each of their respective Affiliates, directors, officers, employees and independent contractors, (b) "Vopak

Comprehensive Commercial General Liability insurance written on an occurrence basis with a combined limit for bodily injury, ~~personal injury~~ and property damage of at least \$1,000,000 per occurrence and \$2,000 general aggregate, ~~specifically~~ insuring all contractual liability in this agreement pursuant to standard ISO policy form CG 00 01 language and not specifically excluding XCU exposures with Owner named as additional insured on the latest editions of ISO form CG 20 10 11-85 and 20 37, or their substantial equivalent, for all non-professional operations.

Consultant's Professional Liability insurance shall be written with minimum limits of \$5,000,000 per claim and in the aggregate covering any negligent act or omission in performance of professional services ~~and provide broad form contractual liability coverage insuring the indemnification clause in Article 8.1.~~

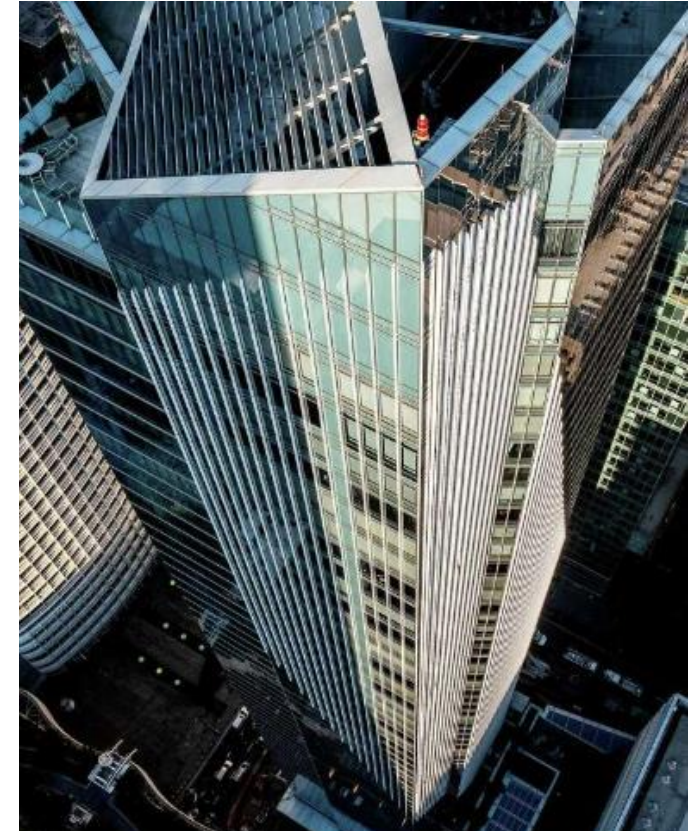
All policies of insurance required herein shall be maintained in full force and effect by Professional and shall provide a thirty (30) day written notice to Owner prior to cancellation, ~~material change, reduction in limits,~~ or non-renewal.

Review of Tilson's Standard Form Contracts

- Master Subcontract:
 - Umbrella/Excess should also be primary and noncontributory
 - Prime insurance requirements should be incorporated
 - \$5 Million Umbrella/Excess too low for many operations
 - No pollution/professional insurance requirements
- CIT and Telecom Consulting Client MSAs
 - Broad statement that Tilson shall provide certificates naming Client as additional insured upon Client's request should be clarified as to which coverages and scope
 - Mutual indemnity contains Tilson defense obligation
 - Exceptions to indemnity for only gross negligence may be unenforceable in many jurisdictions
 - Limitation of liability is rather low and may face enforceability issues – recommend higher limit
- Telecom Client MSA
 - Client should only be additional insured on certain coverages
 - CGL scope should be better defined and limited
 - Professional liability limits should not be agreed to be "full"
 - Remove defense from Tilson's indemnity and limit to bodily injury or property damage – mutual indemnity is better to cover in dual clauses tailored to the respective exposures

CLAIMS CONSULTING SUCCESSES

- Reversal of denial of general liability claim related to engineer who was injured while observing soil disturbances for archeological monitoring; negotiated for release of workers' compensation lien due to waiver of subrogation
- Negotiated with insurers on behalf of geotechnical engineer in connection with sinking Millennium Tower in San Francisco – with millions in paid losses originally denied for coverage
- Independent analysis of aggregate retention accounting and negotiation for recognition of self-performed time, legal fees, and settlements
 - Obtained \$250,000 payment from insurer
- Assistance with recovering internal investigation and legal expenses in connection with structural re-design of failing building crown; insurer paid \$170,000 in additional costs
- Recommendation of counsel for defense and coverage related to tender of subcontractor bodily injury matter to subcontractor and additional insured CGL carrier
 - Captive insurer defended on a primary basis with \$1M+ in recovered fees from subcontractor's carrier





GREYLING

INSURANCE BROKERAGE | RISK CONSULTING
A DIVISION OF EPIC

Team, Timeline & Transition

EXCEPTIONAL DAY-TO-DAY SERVICE

Fast and meaningful responses and advice for your daily insurance needs, plus:

Certificates of Insurance

1

Typically Same Business Day

Dedicated Team Who Process
Hundreds of Thousands of COIs
Annually

Contract Review

48 Hour Turnaround

With Review By Experienced
Legal Professionals – Not Just
Insurance Requirements

2

Quality Control

3

Independent Policy Review

Proprietary Process Learned
From Our Clients That Catches
Insurer Mistakes

Claims

Same Day Reporting

Timely Consulting
Effective Advocacy

4



GREYLING TEAM CHART



**Kent W. Collier, J.D.,
CRIS, LEED BD+C**
Managing Principal/Client
Executive
Portland, ME



Jenn Leddy
Associate Broker
Alpharetta, GA



Trey Moye
Construction Risk
Management
Alpharetta, GA



Kelly Jackson
Contracts & Claims
Alpharetta, GA



Effie Fraone
Construction Broker
Mansfield, MA



Erin Maurer, CIC, CRM
Policy Manager
Alpharetta, GA



Sharon Brubaker
Insurance Certificate
Specialist
Alpharetta, GA



Winnie Chan
Accounting
Alpharetta, GA



TRANSITION & 2024-2025 RENEWAL TIMELINE

Insured: Tilson Technology Management, Inc. Renewal date: April 1, 2024 (Monday) Coverage(s) renewing: All Lines of Coverage				
Activity	Who	No of days to complete	No. of Days Prior	Due Date
Greyling Proposal Presentation	Greyling/Tilson	N/A	151	November 2, 2023 (Thursday)
Broker-of-Record Letters to Greyling	Tilson	8	143	November 10, 2023 (Friday)
Request updated renewal information and applications	Greyling	6	137	November 16, 2023 (Thursday)
Pre-renewal strategy meeting	Greyling/Tilson	12	125	November 28, 2023 (Tuesday)
Provide updated renewal information	Tilson	36	101	December 22, 2023 (Friday)
Meet with underwriters (optional)	Greyling/Tilson	42	83	January 9, 2024 (Tuesday)
Deadline for renewal quotations	Insurers	42	59	February 2, 2024 (Friday)
Clean-Up Certificate Holder Spreadsheet	Tilson	92	45	February 16, 2024 (Friday)
Present final renewal options	Greyling/Tilson	19	40	February 21, 2024 (Wednesday)
Select insurer and bind coverage	Greyling/Tilson	5	35	February 26, 2024 (Monday)
Issue certificates of insurance	Greyling	2	33	February 28, 2024 (Wednesday)

- Broker-of-Record letters shortly in order to support ideal renewal timeline; servicing of existing program begins upon recognition as broker for all included lines of coverage, inclusive of handling past claims
 - Please ask your current broker to provide copies of renewal COIs and those issued since renewal so we can populate our system
 - Please ask your current broker to waive BOR processing waiting period so we can get to work faster on COI issuance
- Immediate assistance available on contract review and negotiation, claims handling, and risk management
- Schedule pre-renewal/transition/COI kick-off meeting within first two weeks

GREYLING'S APPROACH TO CERTIFICATES OF INSURANCE

- Dedicated team of 7 people with A/E and construction firm focus across the country
- We handle large volumes of daily COI requests, and hundreds of thousands of annual renewal COIs
- We commit to a 24-hour turnaround with rush requests handled typically in under 3 hours
- We now process all COIs electronically and dispense with mailing unless specifically required
- Broad experience with third party insurance compliance vendors (myCOI, ISN, EBIX, etc.)
- Experience with particular clients and municipalities that often prove challenging (e.g., Port of Long Beach)
- Self-issuance platforms are available

Certificate of Insurance Requests **Please allow for 24 hour turnaround**			
Attn: Greyling Insurance Brokerage 3780 Mansell Road, Suite 370, Alpharetta, GA 30022 greylingcerts@greyling.com p (770) 756-6599		From:	
PLEASE FILL IN GRAY AREAS			
Today's Date	Named Insured Entity	Date Off	
Certificate holder [company name]			
Address			
City/State/Zip			
Holder Email	(can be used to send renewal COIs – this request will ONLY be sent to emails listed below)		
Project Reference			
	Coverage	Specific limit to show	Other requirements? Please check one
Policies to be referenced in certificate and requested policy limits	☐ General liability	\$1M occurrence \$2M aggregate	Additional insured? Y ☐ N ☐ Waiver of subrogation? Y ☐ N ☐ Primary NonContributory Y ☐ N ☐
	☐ Business auto	\$1M single combined	Additional insured? Y ☐ N ☐ Waiver of subrogation? Y ☐ N ☐ Loss payee? Y ☐ N ☐
	☐ Workers' compensation & Employers Liability	Statutory limits \$1M each accident	Waiver of subrogation? Y ☐ N ☐
	☐ Umbrella liability	\$1M occurrence \$1M aggregate	Additional insured? Y ☐ N ☐ Waiver of subrogation? Y ☐ N ☐
	☐ Professional Liability ☐ Pollution Liability	\$1M per claim \$M aggregate	Waiver of subrogation? Y ☐ N ☐ Additional insured? Y ☐ N ☐
	☐ Property		Loss payee? Y ☐ N ☐
Cancellation notice	Check One: 1) 30 days ☐ 2) Not applicable ☐		
Additional items	☐ See attached documents for special wording and/or additional required documents		
Additional Insured names/Special Wording			

E-mail PDF - Provide Email Address

GREYLING IS THE RIGHT FIT FOR TILSON

- Geographic Footprint: **Northeast, Nationwide, and International**
- Insurance Relationships: **Liberty**, other **Domestic** and **London**
- Risk Management: **Relevant** and **Specific**
- Practical Experience: **Insurance, Construction Law, and Engineering**
- Coverage focus: **Professional Liability, Pollution, Property & Casualty, and Executive & Cyber** plus **Builder's Risk** and **Subcontractor Default**
- Contract Review: Prompt and effective with focus on **Insurance Compliance** and **Insurability of Risk** by deep team of experienced professionals and **Attorneys**
- Cost: **Market-Leading** Premiums with a **Fair, Transparent**, and **Collaborative** broker compensation inclusive of expansive services and introduction on **Innovation** such as **Captives**
- Customer Service: **Personal, Available**, and **Exceptional**



Thank you!

We Look Forward to Helping You